

**LAW & MOTION CALENDAR
TENTATIVE RULINGS**

July 2, 2026

**Judge R. Shawn Nelson
Department C10**

Department C10 hears law and motion on Thursdays at 10:00 a.m. and 1:30 p.m.

Court reporters: Official court reporters are not provided in this department for any proceedings. If the parties desire the services of a court reporter, the parties should follow the procedures set forth in the Privately Retained Court Reporter Policy on the court's website at www.occourts.org.

Tentative rulings: The court endeavors to post tentative rulings on the court's website by 9:00 a.m. the day of the hearing. Tentative rulings may not be posted in every case. Please do not call the department for tentative rulings if tentative rulings have not been posted. The court will not entertain a request to continue a hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on tentative rulings: If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the Courtroom Clerk or Courtroom Attendant by calling (657) 622-5210. Please do not call the department unless all parties submit on the tentative ruling. If all sides submit to the tentative ruling and so advise the court, the tentative ruling shall become the court's final ruling, and the prevailing party shall give notice of the ruling and prepare an order for the court's signature if appropriate under Cal. R. Ct. 3.1312.

Appearances and public access: Appearances, whether in person or remote, must comply with Civil Procedure Code section 367.75, California Rule of Court 3.672, Orange County Superior Court Local Rule 375, and Orange County Superior Court Appearance Procedure and Information—Civil Unlimited and Complex (pub. 9/9/22).

Unless the court orders otherwise, remote appearances will be conducted via Zoom. All counsel and self-represented parties appearing via Zoom must check in through the court's civil remote appearance website before the hearing begins. Check-in instructions are available on the court's website.

The public may attend hearings by coming to court or via remote access as described above.

Photographing, filming, recording, and/or broadcasting court proceedings are prohibited unless authorized pursuant to California Rule of Court 1.150 or Orange County Superior Court Local Rule 180.

Non-appearances: If nobody appears for the hearing and the court has not been notified that all parties submit to the tentative ruling, the court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling.

NO.	CASE NAME	MATTER
10:00 a.m.		
1	Holt vs. JLK, LLC	Counsel Jacob A. Ayres' motion to be relieved as counsel for Defendant Jessica L King Certified Public Accountancy Corp. is GRANTED . Counsel Jacob A. Ayres' motion to be relieved as counsel for Defendant JLK, LLC, is GRANTED .

		The Court's order shall become effective upon the filing of Proofs of Service of the signed order. (Code Civ. Proc. § 284; Cal. Rules of Court, rule 3.1362). The court has reviewed the materials submitted by Moving Counsel and finds that Moving Counsel has complied with the requirements of Rule 3.1362. The court sets an OSC on October 08, 2026, at 09:00 am re: why the answer of Defendants Jessica L King Certified Public Accountancy Corp. and JLK, LLC should not be stricken for failure to retain counsel as an unrepresented entity. Moving Counsel shall give notice to all parties and the clients of the court's ruling and the OSC.
1:30 p.m.		
1	Grossman vs. State Farm Mutual Automobile Insurance Company	Respondent State Farm Mutual Automobile Insurance Company moves to compel arbitration of claims brought by Claimant Michelle Grossman. For the following reasons, the unopposed motion is GRANTED. On 03/26/2026, this court continued the matter for Respondent to service process on Claimant Grossman. (ROA # 14.) State Farm filed has done so, filing proof of service of the petition and all moving papers on Claimant. (ROA # 22.) <u>Standard on Motions to Compel Arbitration</u> The right to arbitration depends upon contract; a petition to compel arbitration is simply a suit in equity seeking specific performance of that contract. (<i>Little v. Pullman</i> (2013) 219 Cal.App.4th 558, 565.) The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. (<i>Ibid.</i>) In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination. (<i>Ibid.</i>) Pursuant to Civil Procedure Code section 1281.2, the court must grant the petition unless it finds that one of the exceptions applies: (1) that no written agreement to arbitrate exists; (2) that the right to compel arbitration has been waived; (3) that grounds exist for revocation of the agreement; or (4) that litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (Code Civ. Proc., § 1281.2; <i>Condee v. Longwood Management Corp.</i> (2001) 88 Cal.App.4th 215, 218-219.)

		“California has a strong public policy in favor of arbitration and any doubts regarding the arbitrability of a dispute are resolved in favor of arbitration.” (<i>Coast Plaza Doctors Hospital v. Blue Cross of California</i> (2000) 83 Cal.App.4th 677, 686.) “This strong policy has resulted in the general rule that arbitration should be upheld unless it can be said with assurance that an arbitration clause is not susceptible to an interpretation covering the asserted dispute.” (<i>Id.</i>, quotations omitted.) <u>Parties’ Arbitration Agreement</u> Respondent State Farm submits competent evidence that Claimant Grossman’s then-effective insurance policy includes an arbitration agreement for underinsured motorist claims that reads in relevant part: If there is no agreement, upon written request of the insured or us, the[] questions [of whether the insured is entitled to collect damages from the owner or operator of the uninsured motor vehicle; and in what amount] shall be decided by arbitration as provided by section 11580.2 of the California Insurance Code. The insured’s written request must be sent to us by certified mail, return receipt requested. (Markwith Decl. ¶ 3, Ex. A at p. 14 [emphases in original].) Claimant Grossman’s claims fall within the scope of this arbitration clause. Claimant here seeks additional compensation via her underinsured motorist coverage with Respondent State Farm, after having settled her claim against third-party motorist Jose Wellington for his liability insurance policy limits. (Markwith Decl. ¶ 2.) Claimant initially demanded arbitration, sending a formal demand via counsel on 07/04/2023. (<i>Id.</i> at ¶ 4, Ex. B.) Thereafter, Claimant’s counsel did not respond to inquiries about proposed arbitrator and mediation. (<i>Id.</i> at ¶¶ 5-6.) Claimant chose not to oppose the petition and, thus, concedes the issues presented in the motion. (<i>See, e.g., DuPont Merck Pharmaceutical Co. v. Superior Court</i> (2000) 78 Cal.App.4th 562, 566 [finding plaintiffs conceded an issue by failing to argue the contrary].) Clerk is ordered to give notice.
2	High Tech Coatings vs. Pen Manufacturing, LLC	The hearing on Plaintiff High Tech Coatings’ motion for summary judgment is CONTINUED to July 23, 2026, at 01:30 pm in Department C10. On February 23, 2026, James Ling of Ling Law Group, APC, filed a motion to be relieved as counsel for Defendant Pen Manufacturing, LLC. While that motion was still pending, but before the court decided the motion, Plaintiff filed the motion for summary judgment on March 10, 2026, while Defendant was still represented by counsel. Plaintiff’s motion for summary judgment was served on Defendant’s counsel.

		Nine days later, on March 19, 2026, the court entered an order relieving James Ling of Ling Law Group, APC as counsel for Defendant. The court ordered James Ling to serve notice of the court's order relieving counsel, an OSC re why Defendant's answer should not be stricken, and the moving papers on Plaintiff's motion for summary judgment on Defendant. On March 19, 2026, James Ling filed a declaration stating that he served the court's order relieving Ling as counsel and Plaintiff's moving papers on the motion for summary judgment, on Defendant by email. At that point, however, Defendant would be akin to a self-represented party. California Rule of Court 2.251(c)(3)(B) provides that self-represented parties "are to be served by non-electronic methods unless they affirmatively consent to electronic service." By serving Defendant by email rather than mail, the court has grave concerns whether or not Defendant has had notice of the order relieving Ling as counsel and/or the hearing date of Plaintiff's motion for summary judgment. Further, on April 16, 2026, the court entered an order striking Defendant's answer as an unrepresented corporation. It is unclear whether or not Defendant received proper notice of this order. While Plaintiff has no blame for the current situation and the oversight of counsel James Ling has caused Plaintiff unnecessary delay, to ensure Defendant's due process, the court orders that Plaintiff to serve written notice and a copy of: (1) the court's order relieving James Ling of Ling Law Group, APC as counsel for Defendant, (2) the continued hearing on Plaintiff's motion for summary judgment, (3) the moving papers on Plaintiff's motion for summary judgment, (4) and the court's order striking Defendant's answer, all by mail within 5 court days of this order. Once Plaintiff serves said notices/documents, Plaintiff may alternatively immediately proceed with default/default judgment procedures in lieu of proceeding on the motion for summary judgment. The Case Management Conference scheduled for July 16, 2026, is continued to July 23, 2026, at 01:30 pm in Department C10. Plaintiff shall give notice.
3	Hulsey vs. Nguyen	Plaintiff and Cross-Defendant Rickie Hulsey move to set aside the Court's January 22, 2026, order declaring Plaintiff a vexatious litigant. For the following reasons, the motion is DENIED. A motion for reconsideration made by a party must be based on new or different facts, circumstances, or law than those before the court at the time of the original ruling. (Code Civ. Proc. § 1008(a).) The motion must also be accompanied by an affidavit from the moving party that states: (1) what application was previously made; (2) when and to what judge; (3) what

		order was made; and (4) what new or different facts, circumstances or law are claimed to be shown. (Code Civ. Proc. § 1008(a).) A party seeking reconsideration also must provide a satisfactory explanation for the failure to produce the evidence at an earlier time. (<i>New York Times Co. v. Superior Court</i> (2005) 135 Cal.App.4th 206, 213.) A motion for reconsideration must be filed within 10 days of service on him of notice of entry of the order in question. (Code Civ. Proc. § 1008(a).) The 10-day deadline for seeking reconsideration is extended under Code Civ. Proc. § 1013 for service by mail, fax, electronic service or overnight delivery, which applies “in the absence of a specific exception provided for by this section or other statute or rule of court.” (Code Civ. Proc. § 1013(a), (c), (e).) Plaintiff’s motion is titled, “NOTICE OF MOTION RECONSIDERATION TO PLAINTIFF VEXATIOUS LITIGANT, POS WAS UNTIMELY, WRONG CASE NUMBER, WRONG HEARING DATE OF 1/22/2025, SERVICE WAS VOID RICKIE HULSEY’S DECLARATION.” However, Plaintiff’s notice of motion states that Plaintiff seeks “an order vacating as void the Court’s order declaring Plaintiff a vexatious litigant and imposing a prefiling order.” (Motion at p. 1.) Thus, it is not even clear that Plaintiff seeks reconsideration. Indeed, Plaintiff’s motion does not even reference Code Civ. Proc. § 1008, the statute governing motions for reconsideration. Insofar as it is a motion to vacate to set aside the January 22, 2026, order declaring Plaintiff a vexatious litigant, it is duplicative of the motion filed on January 29, 2026, and is denied for the same reasons that motion was denied. Insofar as it is a motion for reconsideration, Plaintiff provides no basis for reconsideration of the January 22, 2026, order. Plaintiff provides no new or different facts, circumstances, or law than those before the court at the time of the original ruling. The Court has already addressed Plaintiff’s challenges to that January 22, 2026, order and ruled that those challenges lack merit. The motion is denied. Clerk to give notice.
4	NiMO Holdings, LLC vs. All Home Lending, Inc.	Plaintiff NiMO Holdings, LLC’s motion for attorneys’ fees is GRANTED, in part. The court awards attorneys’ fees in the reduced amount of <u>\$20,111.00</u>. The court awards cost in the amount of <u>\$1,134.00</u>, as previously set forth in this court’s 5/21/26 ruling on the motion to tax costs. <u>Basis for Attorneys’ Fees</u>

“As explained by our Supreme Court in *Conservatorship of McQueen* (2014) 59 Cal.4th 602. . . post judgment costs and fees are distinct from prejudgment costs and fees, and they are governed by different laws. ‘The statutes and rules distinctly address three different types of costs and fees: prejudgment costs, including attorney fees where authorized by contract, statute or law (§ 1033.5, subd. (a)(10)), are recovered through procedures established under section 1034, subdivision (a) and [California Rules of Court,] rules 3.1700 and 3.1702(b); appellate costs and fees are recovered under section 1034, subdivision (b) and [California Rules of Court,] rules 3.1702(c) and 8.278; and post judgment enforcement costs and fees are recovered under the Enforcement of Judgments Law, specifically sections 685.040 to 685.095.’ [Citation].” (*Elmi v. Related Management Co., L.P.* (2025) 108 Cal.App.5th 683, 699.)

Pursuant to Section 685.040, there are two requirements before a motion for an award of post judgment attorney fees may be awarded as costs: (1) the fees must have been incurred to “enforce” a judgment, and (2) the underlying judgment had to include an award for attorney fees pursuant to subdivision of Code of Civil Procedure providing that attorney fees may be awarded when authorized by contract. (*Guo v. Moorpark Recovery Service, LLC* (2021) 60 Cal.App.5th 745, 750.)

Here, the underlying lease agreement contains an attorney’s fee provision in favor of the prevailing party. (See Decl. of Oh-Kubisch, ¶ 4, Exhs. C and D [Lease Agreement and Judgment]).

Plaintiff/Judgment Creditor is requesting \$28,602.50 in attorneys’ fees for enforcement of the judgment and also anticipates expending an additional \$4,460.00 in bringing the instant motion, for a total amount of \$33,062.50 in attorneys’ fees.

Accord and Satisfaction

In the Defendants’ Motion to Tax Costs and Reply in support thereof, Defendants contend that the claim against Defendants has been discharged under Commercial Code § 3311, and that all of the elements of an accord and satisfaction were met when Mr. Ahmari dropped off a check in the amount Plaintiff claimed was due with “Payment in Full” in the memo section. This court already rejected this argument in the ruling on the motion to tax costs. (See 5/21/26 Order [ROA 296]).

Lodestar

The lodestar method for calculating attorneys’ fees applies to any statutory attorneys’ fees award, unless the statute authorizing the award provides for another method of calculation. (*Galbiso v. Orosi Pub. Util. Dist.* (2008) 167 Cal.App.4th 1063, 1089; see also *K.I. v. Wagner* (2014) 225 Cal.App.4th 1412, 1425.)

When determining a reasonable attorneys' fees award using the lodestar method, the court begins by deciding the reasonable hours the prevailing party's attorney spent on the case and multiplies that number by the reasonable hourly compensation of each attorney. (*Doppes v. Bentley Motors, Inc.* (2009) 174 Cal.App.4th 967, 998).

Defendants challenged the requested attorney's fees in their Motion to Tax Costs on the grounds that Plaintiff failed to submit competent evidence, such as attorney declarations or billing records, establishing that the fees were reasonably incurred and necessary to enforce the judgment.

However, Plaintiff has now submitted this evidence in support of the Motion for Attorneys' Fees. Plaintiff attaches to the motion the declaration of Sharon Oh-Kubisch along with copies of the billing statements from April 2023 to January 2026. (Decl. of Oh-Kubisch, ¶ 10, Ex. G). Defendants did not file an Opposition to this motion and did not challenge these exhibits.

Hourly Rates

The reasonable hourly rate is that prevailing in the community for similar work. (*PLCM Group, Inc. v. Drexler* (2000) 22 Cal. 4th 1084, 1095.).

Plaintiff's counsel claims the following hourly rates:

Sharon Oh-Kubisch-\$400, Alexa Stephenson-\$400, Daniel Yu-\$400, Megan P. Lee-\$350, \$805 Christine Dockery (Paralegal)- \$265.

The court finds these rates reasonable.

Costs/Fees more than two years prior

Code Civ. Proc., § 685.070, subd. (b) provides:

Before the judgment is fully satisfied but not later than two years after the costs have been incurred, the judgment creditor claiming costs under this section shall file a memorandum of costs with the court clerk and serve a copy on the judgment debtor. Service shall be made personally or by mail. The memorandum of costs shall be executed under oath by a person who has knowledge of the facts and shall state that to the person's best knowledge and belief the costs are correct, are reasonable and necessary, and have not been satisfied.

As previously mentioned, Counsel's billed work, as reflected in the billing sheets, dates back to April 2023. However, Plaintiff did not file the instant motion until February 9, 2026. And while Plaintiff filed a memorandum of costs on December 17, 2025, Plaintiff only sought fees for work going as far back until January 1, 2024, in the memorandum of costs. (See Memo. Of Costs [ROA 245] at ¶ 7).

Accordingly, Plaintiff can no longer seek fees for any time prior to January 1, 2024.

Hours Reasonably Expended

“[T]he verified time statements of the attorneys, as officers of the court, are entitled to credence in the absence of a clear indication the records are erroneous.” (*Horsford v Board of Trustees of California State University* (2005) 132 Cal.App.4th 359, 396; *Raining Data Corp. v. Barrenechea* (2009) 175 Cal.App.4th 1363, 1367 [declarations of counsel are also “sufficient to meet the burden of establishing the reasonableness of the fees incurred, without the need to produce copies of counsel’s detailed billing statements.”].) Contemporaneous records are not required to support a motion for attorney fees. (*Raining Data Corp. v. Barrenechea* (2009) 175 Cal.App.4th 1363, 1375; *Martino v. Denevi* (1986) 182 Cal.App.3d 553, 559.) Here, Mr. Stanley attached the time records to his declaration. (See Decl. of Stanley, Ex. 2).

The Court will reduce the hours it determines were excessive or not supported. (*Levy v. Toyota Motor Sales, U.S.A., Inc.* (1992) 4 Cal.App.4th 807, 816 [party seeking attorney fees has the “burden of showing that the fees incurred were allowable, were reasonably necessary to the conduct of the litigation, and were reasonable in amount” (internal quotation marks omitted)]; *Christian Research Institute v. Ahor* (2008) 165 Cal.App.4th 1315, 1326-29 [affirming award for 71 hours of attorney time in case where attorneys sought fees for over 600 hours].) Fee award amounts are matters within the trial court’s discretion: the “trial judge is the best judge of the value of professional services rendered in his court, and while his judgment is of course subject to review, it will not be disturbed unless the appellate court is convinced that it is clearly wrong.” (*Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1132.)

In challenging attorney fees as excessive, “it is the burden of the challenging party to point to the specific items challenged, with a sufficient argument and citations to the evidence. General arguments that fees claimed are excessive, duplicative, or unrelated do not suffice.” (*Premier Med. Mgmt. Sys. v. Cal. Ins. Guarantee Assoc.* (2008) 163 Cal.App.4th at pp. 550, 564.)

However, the Court “may not rubber stamp a request for attorney fees but must determine the number of hours reasonably expended.” (*Donahue v. Donahue* (2010) 182 Cal.App.4th 259, 271.)

The total amount accrued from January 1, 2024, is \$17,711. (See Decl. of Oh-Kubisch, Ex. G). The court finds that this time is reasonable. Furthermore, Defendants failed to present any challenges to the billing entries.

In addition, counsel declares as follows: “I have spent approximately five (5) hours researching and drafting the instant Motion. I also anticipate

		spending an additional four (4) hours reviewing the opposition and drafting a reply to any opposition to this Motion and another two (2) hours preparing for and appearing at the hearing on this Motion for a total of 11.0 hours. At \$400 per hour, that amounts to \$4,400.00 plus the motion filing fee of \$60.00, totaling an additional \$4,460.00.” (Decl. of Oh-Kubisch, ¶ 23). However, there is no opposition. Therefore, the court awards a total of four hours, for an additional total of \$2,400. The total award is <u>\$20,111</u>. <u>Costs</u> Plaintiff has already filed a memorandum of costs, and this court ruled on Defendants’ motion to tax costs on 5/21/26, deducting a total of \$473. Accordingly, the total cost award is <u>\$1,134</u>. Plaintiff shall give notice.
5	Lam vs. Bui	Defendants Hong Bui and Yen Hai Bui’s Motion for Protective Order is DENIED. <u>Standard for Issuance of Protective Order</u> Pursuant to sections 2017.020, subdivision (a) and 2025.420, subdivision (a) of the Code of Civil Procedure, a party may move for a protective order to protect it from unwarranted annoyance, embarrassment, or oppression, or undue burden and expense, or if the Court determines the burden, expense, or intrusiveness of that discovery clearly outweighs the likelihood that the information sought will lead to the discovery of admissible evidence. The party seeking the protective order must show good cause for whatever order is sought. (<i>Nativi v. Deutsche Bank National Trust Co.</i> (2014) 223 Cal.App.4th 261, 318; see <i>GT, Inc. v. Superior Court</i> (1984) 151 Cal.App.3d 748, 754 [“the party seeking the protective order is required to meet the usual burden of showing ‘good cause’ ”].) <u>Defendants Did Not Comply With their Obligation to Meet-and-Confer Prior to Filing the Motion</u> When a party seeks a protective order, whether under section 2017.020 or 2025.420 of the Code of Civil Procedure, the Motion “shall be accompanied by a meet and confer declaration under Section 2016.040.” (Code Civ. Proc., §§ 2017.020, subd. (a), 2025.420, subd. (a).) In turn, the present version of section 2016.040 of the Code of Civil Procedure requires the parties meet and confer, “either in person, by telephone, or by video conference....” (Code Civ. Proc., § 2016.040, subd. (a), italics added.)

Here, the only meet-and-confer effort Defendants made was sending the document entitled “Objection and Meet-and-Confer Regarding Deposition Notice from Defendant.” (Exhibit A to Declarations from Huong Bui and Yen Hai Bui.)

This does not comply with section 2016.040’s requirement that the meet-and-confer take place in person, by telephone, or by videoconference.

Moreover, this letter does not exhibit a “reasonable and good faith attempt” at an informal resolution, particularly where the letter was sent on the same day the Motion was filed. (See *Clement v. Alegre* (2009) 177 Cal.App.4th 1277, 1294 [“ ‘the statute requires that there be a serious effort at negotiation and informal resolution,’ ” and it requires the parties to “ ‘attempt to talk the matter over, compare their views, consult, and deliberate’ ”]; see *Obregon v. Superior Court* (1998) 67 Cal.App.4th 424, 432-433 [meet-and-confer efforts were insufficient where, upon receiving discovery responses, the plaintiff simply sent a single brief letter late in the relevant time period, before filing discovery motion].)

Since Defendants did not comply with the meet-and-confer requirement, the Court shall deny the Motion.

Defendants Have Not Established Good Cause

As noted, when a party seeks a protective order, it has the burden to show good cause for the issuance of a protective order. (*Nativi v. Deutsche Bank National Trust Co.* (2014) 223 Cal.App.4th 261, 318; *GT, Inc. v. Superior Court* (1984) 151 Cal.App.3d 748, 754.)

In their Motion, Defendants contend the discovery Plaintiffs are pursuing is duplicative, oppressive, and harassing, as Plaintiffs have sought similar discovery in a prior quiet title case. (Huong Bui Declaration, ¶ 4; Yen Hai Bui Declaration, ¶ 3.) Defendants contend this discovery is “intended to pressure Defendants into relitigating matters already resolved.” (Huong Bui Declaration, ¶ 6; Yen Hai Bui Declaration, ¶ 5.)

However, the Court has already rejected Plaintiffs’ contention that the present claims are barred by claim or issue preclusion. Further, Defendants have not cited any legal authority that supports their suggestion that discovery obtained in the prior quiet title action can be used in this action.

Under the Civil Discovery Act, “any party may obtain discovery regarding any matter, not privileged, that is relevant to the subject matter involved in the pending action or to the determination of any motion made in that action, if the matter is itself admissible in evidence or appears reasonably calculated to lead to the discovery of admissible evidence. Discovery may relate to the claim or defense of the party seeking discovery or of any other party to the action.” (Code Civ. Proc., § 2017.010; *Los Angeles Unified*

		<i>School Dist. v. Trustees of the Southern California IBEW-NECA Pension Plan</i> (2010) 187 Cal.App.4th 621, 627-628.) In their Motion, Defendants have not presented any evidence that the depositions, or Plaintiffs’ discovery requests, are not relevant to the present action. Defendants also claim the noticed depositions conflict with pending hearings. (Yen Hai Bui Declaration, ¶ 4.) Defendants have not identified what hearings the noticed depositions might conflict with. Perhaps tellingly, Defendants’ meet-and-confer letter merely states they “are unavailable for the entire month of February due to multiple legal obligations and deadlines.” (Exhibit A to Defendants’ Declarations.) They also maintain that attempting to proceed with the noticed deposition “would place excessive pressure, create significant scheduling conflicts, and constitute harassment. Absent court intervention, this would cause irreparable harm, as once a deposition occurs under these conditions, the harm cannot be undone.” (Exhibit A to Defendants’ Declarations.) The Court acknowledges that a legitimate scheduling conflict might constitute good cause to reschedule the deposition. (See <i>Cisneros v. Department of Motor Vehicles</i> (2024) 104 Cal.App.5th 381, 420 [conflicting court appearance in a criminal matter represents good cause to continue civil administrative per se hearings].) A party may also object to a deposition notice if the deponent is unavailable on the date selected by the deposing party. However, having to comply with multiple legal obligations and deadlines, which may place excessive pressure on Defendants, does not constitute good cause. The fact that Defendants are self-represented does not warrant a different result. (See <i>Rappleyea v. Campbell</i> (1994) 8 Cal.4th 975, 984-985 [mere self-representation is not a ground for exceptionally lenient treatment, as the rules of civil procedure must apply equally to parties represented by counsel, as well as to those who forgo representation].) Since Defendants have not established good cause for the issuance of a protective order, the Court shall deny Defendants’ Motion for a protective order. Plaintiffs are ordered to provide notice of the Court’s ruling.
6	Nguyen vs. Volkswagen Group of America, Inc.	Defendant Volkswagen Group of America, Inc.’s Demurer to Plaintiff’s First Amended Complaint is OVERRULED as to the 6th Cause of Action. Defendant Volkswagen of Garden Grove’s Demurer to Plaintiff’s First Amended Complaint is OVERRULED as to the 5th Cause of Action.

Defendants Volkswagen Group of America, Inc. and Volkswagen of Garden Grove shall file an answer or other pleading in response to the First Amended Complaint for Violation of Statutory Obligations **within 10 days of this ruling.** (See Cal. Rules of Court rule 3.1320(j).)

Volkswagen Demurrer

Defendant Volkswagen Group of America, Inc. demurs to Plaintiff's sixth cause of action for fraudulent concealment on the grounds that the claim is not pled with sufficient specificity, that Plaintiff failed to allege a duty to disclose, and that Plaintiff failed to plead ratification by a corporate agent.

A. Specificity in Pleading

Defendant first contends that the 6th Cause of Action is not pled with the requisite particularity.

"Every element of the cause of action for fraud must be alleged in the proper manner and the facts constituting the fraud must be alleged with sufficient specificity to allow defendant to understand fully the nature of the charge made." (*Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73, quoting *Roberts v. Ball, Hunt, Hart, Brown & Baerwitz* (1976) 57 Cal.App.3d 104, 109.)

"This particularity requirement necessitates pleading *facts* which 'show how, when, where, to whom, and by what means the representations were tendered.'" *Stansfield v. Starkey, supra*, 220 Cal.App.3d at p. 73, quoting *Hills Trans. Co. v. Southwest* (1968) 266 Cal.App.2d 702, 707.)

In addition, "[c]oncealment is a species of fraud, and '[i] must be pleaded with specificity.'" (*Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 878, quoting *Linear Technology Corp. v. Applied Materials, Inc., supra*, 152 Cal.App.4th at p. 132.) However, "the requirement of specificity is relaxed when the allegations indicate that 'the defendant must necessarily possess full information concerning the facts of the controversy' or 'when the facts lie more in the knowledge of the opposite party.'" (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 158, quoting *Bradley v. Harford Acc. & Indem. Co* (1973) 30 Cal.App.3d 818, 825 and *Turner v. Milstein* (1951) 103 Cal.App.2d 651, 658.)

This also is true when the claim is based upon fraudulent concealment rather than affirmative misrepresentations. As one court has aptly observed, "it is harder to apply [the requirement of specificity] to a case of simple nondisclosure. 'How does one show "how" and "by what means" something didn't happen, or "when" it never happened, or "where" it never happened?'" (*Jones v. ConocoPhillips Co.* (2011) 198 Cal.App.4th 1187, 1199, quoting *Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384.)

In *Dhital v. Nissan North America, Inc.*, the Court of Appeal stated:

Nissan also contends plaintiffs did not provide specifics about what Nissan should have disclosed. But plaintiffs alleged the CVT transmissions were defective in that they caused such problems as hesitation, shaking, jerking, and failure to function. The SAC also alleged Nissan was aware of the defects as a result of premarket testing and consumer complaints that were made both to NHTSA and to Nissan and its dealers. It is not clear what additional information Nissan believes should have been included. . . . We conclude plaintiffs' fraud claim was adequately pleaded.

(*Dhital v. Nissan North America, Inc.*, *supra*, 84 Cal.App.5th at p. 845.)

Similarly, the FAC in this case alleges that:

- "...Plaintiff is informed, believes, and thereon alleges that prior to Plaintiff acquiring the subject vehicle, VWGOA was well aware and knew that the lithium-ion battery installed in the subject vehicle was defective but failed to disclose this fact to Plaintiff at the time of sale and thereafter..." (FAC, ¶ 54).
- "Specifically, VWGOA knew (or should have known) that the battery system had one or more defects that can result in various problems, including, but not limited to, the battery system overheating, loss of propulsion power while driving, sudden and premature battery failure, failure to start, reduced range, thermal runaway, and/or spontaneous combustion and/or fire, ("Battery Defect"). These conditions present a safety hazard and are unreasonably dangerous to consumers because they can suddenly and unexpectedly cause overheating and spontaneous combustion at any time. Such unexpected battery failure and catastrophic fire, thereby, exposes Plaintiff and her passengers (along with other drivers who share the road or garage with Plaintiff) to a serious risk of accident and injury." (FAC, ¶ 55).
- "Plaintiff is informed, believes, and thereon alleges that VWGOA acquired its knowledge of the Battery Defect prior to Plaintiff acquiring the subject vehicle, through sources not available to consumers such as Plaintiff, including but not limited to pre-production and post-production testing data, early consumer complaints about the Battery Defect made directly to VWGOA and its network of dealers, aggregate warranty data compiled from VWGOA's network of dealers, testing conducted by VWGOA in response to these complaints, as well as warranty repair and part replacements data received by VWGOA from VWGOA's network of dealers, amongst other sources of internal information." (FAC ¶ 56).
- "Defendant VWGOA was in a superior position from various internal sources to know (or should have known) the true state of facts about

the material defects contained in vehicles equipped with the lithium-ion battery.” (FAC, ¶ 59 (b)).

The FAC in this case is sufficiently specific pursuant to *Dhital v. Nissan North America, Inc.* As such, the court finds that Plaintiff has sufficiently pled all elements of a cause of action for fraud.

Therefore, the court will overrule the demurrer to 6th Cause of Action on this basis.

B. Duty to Disclose

Defendant also argues that the FAC fails to establish a duty to disclose because it does not allege the requisite transactional relationship for Plaintiff to allege a fraud claim.

The Court of Appeal has stated that “[a] duty to disclose facts arises only when the parties are in a relationship that gives rise to the duty, such as ‘seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual arrangement.’” (*Shin v. Kong* (2000) 80 Cal.App.4th 498, 509, quoting *Wilkins v. National Broadcasting Co.* (1999) 71 Cal.App.4th 1066, 1082.)

As the Court of Appeal explained in *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276: Our Supreme Court has described the necessary relationship giving rise to a duty to disclose as a “transaction” between the plaintiff and defendant: “In transactions which do not involve fiduciary or confidential relations, a cause of action for non-disclosure of material facts may arise in at least three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2) the facts are known or accessible only to defendant, and defendant knows they are not known to or reasonably discoverable by the plaintiff; (3) the defendant actively conceals discovery from the plaintiff.” (*Id.* at p. 311, quoting *Warner Construction Corp. v. City of Los Angeles* (1970) 2 Cal.3d 285, 294, footnotes omitted.)

According to the *Bigler-Engler v. Breg, Inc.* Court, “[s]uch a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” (*Bigler-Engler v. Breg, Inc.*, *supra*, 7 Cal.App.5th at p. 312).

However, in *Bigler-Engler v. Breg, Inc.*, “[the defendant] did not transact with [the plaintiff] in any way.” (*Id.* at p. 314.) Further, “[the plaintiff] obtained her Polar Care device from [one third-party], based on a prescription written by [another third-party], all without [the defendant’s] involvement.” (*Ibid.*) Under those circumstances, the Court of Appeal held that there was no duty to disclose. (See *id.* at pp. 314-315.)

This case, by contrast, does not involve a relationship between the manufacturer and the general public.

Instead, the FAC alleges that there was a relationship between Plaintiff and Defendant because Plaintiff and Defendant entered into a warranty contract. (FAC, ¶ 7). Thus, unlike in *Bigler-Engler v. Breg, Inc.*, there was a transaction directly between Plaintiffs and Defendant.

This reasoning was confirmed in *Dhital v. Nissan North America, Inc.* In that case, which was a Song-Beverly action similar to this one, the Court of Appeal held that a car buyer need not allege a contract with the manufacturer in order to allege a duty to disclose:

Nissan argues Plaintiff did not adequately plead the existence of a buyer-seller relationship between the parties, because Plaintiff bought the car from a Nissan dealership (not from Nissan itself). At the pleading stage (and in the absence of a more developed argument by Nissan on this point), we conclude Plaintiff's allegations are sufficient. Plaintiff alleges that they bought the car from a Nissan dealership, that Nissan backed the car with an express warranty, and that Nissan's authorized dealerships are its agents for purposes of the sale of Nissan vehicles to consumers. In light of these allegations, we decline to hold Plaintiff's claim is barred on the ground there was no relationship requiring Nissan to disclose known defects.

(*Dhital v. Nissan North America, Inc.*, *supra*, 84 Cal.App.5th at p. 844.)

Thus, the court will overrule the demurrer to 6th Cause of Action on this basis.

C. Ratification

Finally, Defendant argues that Plaintiff fails to allege corporate ratification of fraud.

While the particularity requirement which typically applies to fraud “necessitates pleading facts which ‘show how, when, where, to whom, and by what means the representations were tendered,’” “it is harder to apply this rule to a case of simple nondisclosure.” (*Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384). “One of the purposes of the specificity requirement is ‘notice to the defendant, to furnish the defendant with certain definite charges which can be intelligently met.’” (*Ibid.*). “Less specificity should be required of fraud claims ‘when ‘it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy...’” (*Ibid.*) “[E]ven under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party...” (*Id.*)

Notably, the Court in *Alfaro* specifically found the pleading standard required for fraudulent omission did not require the plaintiffs therein “to allege each occasion on which an agent of either defendant could have disclosed the restrictive deed” as “[s]urely defendants have records of their dealings with the plaintiffs.” (*Alfara, supra*, 171 Cal.App.4th at 1384-1385.) The court likewise noted that “plaintiffs may or may not know the names of all the corporate employees with whom they interacted.” (*Ibid.*) “Those details...are properly the subject of discovery, not demurrer.” (*Ibid.*)

Applying the above herein, as Plaintiff is alleging *concealment*, which involves information which “lie[s] more in the knowledge of the opposite party...,” under *Alfara*, Plaintiff is not required to “to allege each occasion on which an agent of either defendant could have disclosed” as Plaintiff “may or may not know the names of all the corporate employees with whom they interacted.” “Those details...are properly the subject of discovery, not demurrer.”

The court, therefore, OVERRULES the demurrer to the sixth cause of action for fraudulent concealment.

Dealer Demurrer

Defendant Volkswagen of Garden Grove (“Dealer”) demurs to the fifth cause of action for negligent repair on the grounds that Plaintiff failed to allege how Defendant acted negligently and how that unspecified negligence caused Plaintiff’s damages.

The elements to a cause of action for negligence are (1) the existence of a duty, (2) breach, (3) causation, and (4) damages. (*Pellegrini v. Weiss* (2008) 165 Cal.App.4th 515, 524.) For most claims, including claims for negligence, one need plead only ultimate facts, not evidentiary facts. (See *Ludgate Ins. Co. v. Lockheed Martin Corp.* (2000) 82 Cal.App.4th 592, 606 [“A cardinal rule of pleading is that only the ultimate facts need be alleged.”].) Plaintiff has sufficiently alleged the scope of Defendant’s duty and breach. (FAC, ¶ 14 (Plaintiff took the vehicle four times for repair but continued to experience symptoms of the defects after repair)). Defendant can obtain any additional details through discovery. (See *Lickiss v. Financial Industry Regulatory Authority* (2012) 208 Cal.App.4th 1125, 1135.) Plaintiff has sufficiently alleged the ultimate facts for each element of negligence.

Defendant Dealer then argues that Plaintiff’s negligent repair cause of action is barred by the economic loss rule. However, Plaintiff’s cause of action for negligent repair is based on Defendant’s alleged negligent failure to perform services and not the sale or furnishing of defective products. The economic loss rule applies to claims involving the furnishing of goods, not the negligent *performance of services* as alleged here. (See *North American Chemical Co. v. Superior Court* (1997) 59 Cal.App.4th 764, 780-781.)

		In <i>Sheen</i>, the court held that tort claims for monetary losses between contractual parties are barred by the economic loss rule when they arise from or are not independent of the parties’ underlying contracts. (<i>Sheen v. Wells Fargo Bank, N.A.</i> (2022) 12 Cal.5th 905, 922, 923-925). However, the <i>Sheen</i> Court acknowledged the “recognized exception to the economic loss rule for consumers who contract for certain kinds of professional services.” (<i>Id.</i> at 933.) Under the factors considered in <i>North American Chemical</i>, the court does not find that the economic loss rule bars a negligent repair cause of action. The demurrer to the fifth cause of action is overruled. Moving Defendants to give notice.
7	Cvejkus vs. Volkswagen Group of America, Inc.	Notices of Withdrawal of Motion (ROA 90, ROA 88, ROA 82, and ROA 80)
8	Qazi vs. Avenue One Community Association, Inc.	<u>Motion to Be Relieved As Counsel of Record is off calendar</u> The Request for Dismissal of Entire Action was filed 06/26/2026.
9	Cunningham vs. FCA US LLC	Defendant FCA US, LLC’s Demurrer to Plaintiffs’ First Amended Complaint is OVERRULED. Defendant’s Motion to Strike Plaintiffs’ Claim for Punitive Damages in First Amended Complaint is DENIED. <u>Demurrer</u> <u>Breach of the Implied Warranty of Merchantability</u> “The duration of the implied warranty of merchantability and where present the implied warranty of fitness shall be coextensive in duration with an express warranty which accompanies the consumer goods, provided the duration of the express warranty is reasonable; but in no event shall such implied warranty have a duration of less than 60 days nor more than one year following the sale of new consumer goods to a retail buyer. Where no duration for an express warranty is stated with respect to consumer goods, or parts thereof, the duration of the implied warranty shall be the maximum period prescribed above.” (Civ. Code, § 1791.1, subd. (c).) However, the duration provision of the Song-Beverly Act does not bar “an action for breach of the implied warranty of merchantability when the purchaser fails to discover and report the defect to the seller within the time period specified in that provision.” Instead, and “particularly in light of the consumer protection policies supporting the Song-Beverly Act, ... the statute merely creates a limited, prospective duration for the implied warranty of merchantability; it does not create a deadline for discovering

		latent defects or for giving notice to the seller.” (<i>Mexia v. Rinker Boat Co., Inc.</i> (2009) 174 Cal.App.4th 1297, 1301.) “The implied warranty of merchantability may be breached by a latent defect undiscoverable at the time of sale. [Citations.] Indeed, ‘[u]ndisclosed latent defects ... are the very evil that the implied warranty of merchantability was designed to remedy.’ [Citation.] In the case of a latent defect, a product is rendered unmerchantable, and the warranty of merchantability is breached, by the existence of the unseen defect, not by its subsequent discovery.” (<i>Mexia v. Rinker Boat Co., Inc.</i> (2009) 174 Cal.App.4th 1297, 1304–1305; see <i>Jones v. Credit Auto Center, Inc.</i> (2015) 237 Cal.App.4th Supp. 1, 9 [“breach of the implied warranty of merchantability may be based on a defect which becomes known <i>after</i> a sale or delivery to a buyer”].) Defendant demurs to the fourth cause of action, arguing the cause of action is time-barred because Plaintiffs purchased the vehicle on March 16, 2021, yet they did not file their lawsuit until May 29, 2025. However, Plaintiffs allege the engine defect constituted a latent defect because, first, every time Plaintiffs presented the vehicle for repair, they were assured the vehicle had been repaired, and that it was working as designed, and second, Defendant was aware that its vehicles, including the Plaintiffs’ vehicle, were equipped with a defective engine. Despite this knowledge, Defendant actively concealed the engine defect from consumers such as Plaintiffs, such that Plaintiffs were unaware of the existence of these latent defects until shortly before filing their Complaint. Defendant maintains that “Plaintiffs do not allege that any latent defects were known or discoverable during the one-year implied warranty period, as required to support a breach of implied warranty claim.” Relatedly, it also argues that Plaintiffs have not alleged the latent defects manifested within the one-year implied warranty period. This is inaccurate, as Plaintiffs repeatedly allege that a latent defect – the engine defect – always existed. Again, Defendant knew of the existence of the latent defect, yet it concealed its existence, in part by performing ineffective repairs that did not address the root cause of the defect. In its Demurrer, Defendant cites to <i>Daugherty v. American Honda Motor Co., Inc.</i> (2006) 144 Cal.App.4th 824, 830 for the proposition that “[t]he Song-Beverly Act does not extend the implied warranty period for repairs made, or for latent defects that manifest themselves after the warranty has expired, nor does it create a perpetual warranty for recurring issues.” <i>Daugherty</i> is inapplicable because the passage Defendant relies on addressed tolling of express warranties, rather than implied warranties. (See <i>Krug v. Board of Trustees of California State University</i> (2025) 110
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		Cal.App.5th 234, 249 [“The case cannot stand for a principle never addressed”].) Defendant also demurs on the ground that the claim fails for lack of privity. However, a number of courts have held that, in the context of the Song-Beverly Act, privity is not required to maintain an implied warranty claim. (See <i>Mega RV Corp. v. HWH Corp.</i> (2014) 225 Cal.App.4th 1318, 1333, fn. 11 [while plaintiff may not be able to sue for breach of implied warranty under the Commercial Code due to a lack of privity, “under the [Song-Beverly] Act, the buyer can sue ‘the manufacturer for breach of the implied warranty of merchantability despite a lack of privity’”]; see <i>Ballesteros v. Ford Motor Co.</i> (2025) 109 Cal.App.5th 1196, 1218 [Song-Beverly Act explicitly governs manufacturer warranties, which does not require privity]; see <i>Davis v. Nissan North America, Inc.</i> (2024) 100 Cal.App.5th 825, 842 [claims against manufacturer under the Song-Beverly Act are not privity-based warranty claims arising under the UCC, as the plaintiff’s claims are based upon the manufacturer’s statutory obligations]; see Civ. Code, § 1792 [“every sale of consumer goods that are sold at retail in this state shall be accompanied by the manufacturer’s and the retail seller’s implied warranty that the goods are merchantable”].) Neither <i>Burr v. Sherwin Williams Co.</i> (1954) 42 Cal.2d 682 nor <i>All West Electronics, Inc. v. M-B-W, Inc.</i> (1998) 64 Cal.App.4th 717, which Defendant cites in its Demurrer, addressed a breach of implied warranty in the context of the Song-Beverly Act. Thus, both are inapposite. Thus, the Court shall overrule the Demurrer to the fourth cause of action for Breach of the Implied Warranty of Merchantability. <u><i>Fraudulent Inducement Concealment</i></u> <u>Specificity</u> Defendant argues the fraudulent concealment claim fails because it lacks factual specificity. From a pleading perspective, the facts that constitute fraud must be alleged fully, factually, and specifically. (<i>Wilhelm v. Pray, Price, Williams & Russell</i> (1986) 186 Cal.App.3d 1324, 1331; see <i>Dhital v. Nissan North America, Inc.</i> (2022) 84 Cal.App.5th 828, 843-844 [Fraud, including concealment, must be pleaded with specificity].) The particularity requirement necessitates the pleading of facts that show how, when, where, to whom and by what means the representation was tendered, and pleading specifically the detriment proximately caused by the defendant’s conduct. (<i>Service of Medallion, Inc. v. Clorox Co.</i> (1996) 44 Cal.App.4th 1807, 1818; <i>Stansfield v. Starkey</i> (1990) 220 Cal.App.3d 59, 73.) “[H]owever ... fraud is the only remaining cause of action in which specific pleading is required to enable the court to determine on the basis of
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		the pleadings alone whether a foundation existed for the charge and, even in the pleading of fraud, the rule is relaxed when it is apparent from the allegations that the defendant necessarily possesses knowledge of the facts.” (<i>Quelimane Co. v. Stewart Title Guaranty Co.</i> (1998) 19 Cal.4th 26, 47.) An exception to the strict pleading standard is recognized when it appears the facts lie more within defendant’s knowledge than plaintiff’s, i.e., less specificity is required where “defendant must necessarily possess full information concerning the facts of the controversy.” (<i>Committee on Children's Television, Inc. v. General Foods Corp.</i> (1983) 35 Cal.3d 197, 216, superseded by statute, on other grounds, as discussed in <i>Sanchez v. Bear Stearns Residential Mortg. Corp.</i> (S.D.Cal. May 11, 2010, No. 09-CV-2056 JLS (CAB)) 2010 U.S.Dist.LEXIS 46043, at *18, fn. 4; see <i>Miles v. Deutsche Bank Nat'l Trust Co.</i> (2015) 236 Cal.App.4th 394, 403-404 [omission of names of mortgage servicer employees and their authority to speak not fatal to fraud claim where defendants had more knowledge of the facts than did plaintiffs].) Defendant maintains “the First Amended Complaint simply asserts conclusory allegations that FCA US concealed facts without naming individuals, providing details about representations, or specifying dates.” It also contends that “Plaintiffs’ use of ‘information and belief’ suggests speculation rather than factual allegations.” Relatedly, Defendant makes the argument that Plaintiffs’ broad references to data are not sufficient to prove its actual knowledge of a defect. In Defendant’s view, its possession of data does not equate to actual knowledge of a material defect, or of an intent to conceal same from Plaintiffs. This argument is not persuasive. Plaintiffs allege that, prior to acquiring the vehicle, they reviewed Defendant’s marketing and advertising materials, they viewed defendant’s vehicle-specific window sticker, and they took the vehicle for a test drive. However, at no point prior to purchase were Plaintiffs advised – whether by Defendant or the dealership – the vehicle was equipped with a defective engine. Plaintiff goes on to allege that Defendant knew vehicles equipped with a 3.6L engine, including Plaintiffs’ vehicle, were defective and at risk of a catastrophic failure while the vehicle was in motion. Despite this knowledge, Defendant chose to conceal this defect from consumers such as Plaintiff. Plaintiffs further allege that they would not have purchased the vehicle had they known it was equipped with a defective engine. Plaintiffs’ allegations are similar to those alleged in <i>Dhital</i>, where the plaintiffs alleged Nissan manufactured and distributed vehicles with a defective CVT transmission that caused a potential safety hazard, which it had exclusive knowledge of, yet which it intentionally concealed from consumers in order to induce consumers to purchase vehicles equipped with the defective transmission. (<i>Dhital v. Nissan North America, Inc.</i> (2022) 84 Cal.App.5th 828, 833-834.) On appeal, the <i>Dhital</i> court held that, “[a]t the
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		pleading stage ..., we conclude plaintiffs’ allegations are sufficient,” and it “decline[d] to hold ... that plaintiffs were required to include in the SAC more detailed allegations about the alleged defects in the CVT transmissions. We conclude plaintiffs’ fraud claim was adequately pleaded.” (<i>Id.</i> at p. 844.) Contrary to Defendant’s claims, Plaintiffs’ allegations regarding fraud did not lack the requisite specificity. Defendant is also critical of Plaintiffs’ counsel’s alleged practice of drafting “boilerplate” or “cut-and-paste” Complaints, which it argues does not meet the specificity requirements since the Complaints are not grounded in the unique circumstances of the case. However, as noted, Plaintiffs have pled more than sufficiently specific facts to support their fraud claim. Moreover, in considering a Demurrer, the trial court must accept as true all material facts properly pleaded in plaintiff’s petition, disregarding only conclusions of law and allegations contrary to judicially noticed facts. (<i>Burt v. County of Orange</i> (2004) 120 Cal.App.4th 273, 277.) “‘A general demurrer admits the truth of all material factual allegations in the complaint [citation]; ... the question of plaintiff’s ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court.’ [Citations.]” (<i>Concerned Citizens of Costa Mesa, Inc. v. 32nd Dist. Agricultural Assn.</i> (1986) 42 Cal.3d 929, 936.) Despite the foregoing law, Defendant’s Demurrer implies that Plaintiffs must somehow prove the truth of their obligations. For example, Defendant contends that “broad references to data do not suffice to prove FCA US’s actual knowledge of a defect.” It also argues Plaintiffs must provide evidence that Defendant had an intent to defraud. However, Plaintiffs do not need to establish the validity of their allegations at this juncture. Instead, they only need to plead sufficiently specific facts to support their fraud claim. They have done so. Thus, the Court rejects Defendant’s contention that the fraud claim lacks the requisite specificity. <u>Duty to Disclose</u> Defendant also argues the fraud claim fails because it did not have a duty to disclose material facts to Plaintiffs. Not so, because Plaintiff alleges he entered into a warranty contract with Defendant, which issued an express written warranty. (See <i>Dhital v. Nissan North America, Inc.</i> (2022) 84 Cal.App.5th 828, 844 [rejecting Nissan’s similar arguments because plaintiffs alleged the manufacturer backed the car with an express warranty]; see <i>Kiluk v. Mercedes-Benz USA, LLC</i>
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		(2019) 43 Cal.App.5th 334, 337, 343 [manufacturer stepped into the role of the distributor and retail seller by issuing an express warranty]; see <i>Fortune v. Nissan North America, Inc.</i> (N.D. Cal., Feb. 16, 2023, No. 22-CV-05247-KAW) 2023 WL 2065043, at *5 [transactional relationship where manufacturer issued a warranty].) In any event, and contrary to Defendant’s position that a “direct transaction” between Plaintiffs and Defendant must be present, “it is clear in California that an action for deceit does not require contractual privity.” (<i>Shapiro v. Sutherland</i> (1998) 64 Cal.App.4th 1534, 1549.) This is true because “a defendant cannot escape liability if he or she makes a representation to one person while intending or having reason to expect that it will be repeated to and acted upon by the plaintiff.” (<i>Id.</i> at p. 1548.) Further, “a fiduciary relationship is not an indispensable element of a fraud action, although the existence of that relationship gives rise to special obligations.” (<i>Lewis v. LeBaron</i> (1967) 254 Cal.App.2d 270, 281.) A fiduciary relationship or duty to disclose is only required where the plaintiff’s cause of action for fraud is based on concealment. (<i>Blickman Turkus, LP v MF Downtown Sunnyvale, LLC</i> (2008) 162 Cal.App.4th 858, 868; <i>Williams v. Wraxall</i> (1995) 33 Cal.App.4th 120, 131, fn. 9.) A duty to disclose material facts arises in four situations: (1) the defendant is under statutory or other prescriptive legal obligation, (2) the defendant voluntarily assumed the duty due to a contractual undertaking, (3) a relationship exists between the defendant and the plaintiff, and (4) the defendant engaged in other conduct making it wrongful to remain silent. (<i>SCC Acquisitions, Inc. v. Central Pacific Bank</i> (2012) 207 Cal.App.4th 859, 864.) The relationship necessary to impose a duty to disclose is described as transactional: “In <i>transactions</i> which do not involve fiduciary or confidential relations, a cause of action for non-disclosure of material facts may arise in at least three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2) the facts are known or accessible only to defendant, and defendant knows they are not known to or reasonably discoverable by the plaintiff; (3) the defendant actively conceals discovery from the plaintiff. (<i>Bigler-Engler v. Breg, Inc.</i> (2017) 7 Cal.App.5th 276, 311 [citing <i>Warner Construction Corp. v. City of Los Angeles</i> (1970) 2 Cal.3d 285, 294]; see <i>In re MyFord Touch Consumer Litigation</i> (N.D. Cal. 2014) 46 F.Supp.3d 936, 960 [duty to disclose where defendant knew of a defect while the plaintiffs did not, and given the nature of the defect, it was difficult to discover].) As noted, Plaintiffs allege Defendant was aware the vehicle was equipped with a defective engine, yet it actively concealed this material fact from
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		consumers such as Plaintiff. Contrary to Defendant’s position, a direct transaction is not required where, as here, Defendant allegedly had exclusive knowledge of the engine defect, which it then actively concealed from Plaintiffs. Defendant also argues the First Amended Complaint relies on vague references to Defendant’s internal data collection, yet Plaintiffs do not show how this information is relevant or material. It also contends “such internal information is preliminary and non-conclusive, not rising to the level of material defects.” The allegations Defendant refers to as “internal data collection” are relevant and material because they allege one of the ways Defendant obtained exclusive or superior knowledge of the engine defect. At this juncture, it is irrelevant whether the internal information confirmed the existence of the engine defect, or whether this was merely preliminary data that Defendant had yet to confirm. This is because as noted, in ruling on a Demurrer, the Court accepts as true all material facts properly pled, and it does not consider the question of Plaintiffs’ ability to prove these allegations. (<i>Burt v. County of Orange</i> (2004) 120 Cal.App.4th 273, 277; <i>Concerned Citizens of Costa Mesa, Inc. v. 32nd Dist. Agricultural Assn.</i> (1986) 42 Cal.3d 929, 936.) Defendant also makes the argument that “Plaintiffs also fail to assert how knowledge held across FCA US’s organization and third-party dealerships can be automatically imputed to FCA US as a corporate entity.” Relatedly, it maintains that authorized dealerships are not its agents. This argument lacks merit because it is alleged Defendant itself, not its third-party dealerships or other related entities, had actual knowledge of the alleged engine defect. Given the foregoing allegations, Plaintiffs have alleged sufficient facts that Defendant had a duty to disclose the alleged defect with the Vehicle and its defective engine. <u>Economic Loss Rule</u> Finally, Defendant contends the fraudulent inducement claim is barred by the economic loss doctrine. However, the Court of Appeal for Division Four of the First District held, “we conclude plaintiffs’ claims for fraudulent inducement by concealment is not subject to demurrer on the ground it is barred by the economic loss rule.” (<i>Dhital v. Nissan North America, Inc.</i> (2022) 84 Cal.App.5th 828, 840; see <i>County of Santa Clara v. Atlantic Richfield Co.</i> (2006) 137 Cal.App.4th 292, 331 [alleged misrepresentations refuting and concealing evidence that low levels of lead exposure could be hazardous were sufficient to support a fraud cause of action, notwithstanding the economic loss rule]; see also <i>Harris v. Atlantic Richfield Co.</i> (1993) 14 Cal.App.4th
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		70, 78 [knowing nondisclosure during the contract formation, or the performance of the contract, allows the injured party to recover in both contract and tort].) Contrary to Defendant’s claim that “the weight of authority within the Ninth Circuit also concurs that the ELD bars recovery for purely economic damages,” a number of Federal District Courts in California have since followed <i>Dhital</i> in finding that the economic loss rule does not bar a plaintiff’s fraudulent concealment claim as a matter of law. (<i>Pirtle v. FCA US, LLC</i> (C.D. Cal., Dec. 8, 2025, 2:25-cv-03257-JAK (MARx)) 2025 WL 4058236, at *12-13; <i>Ramos v. Ford Motor Company</i> (C.D. Cal., Apr. 16, 2025, No. 2:24-CV-04066-AH-(JPRX)) 2025 WL 1606917, at *4-5; <i>Ladanowsky v. FCA US LLC</i> (N.D. Cal., Dec. 30, 2024, No. 24-CV-07197-JST) 2024 WL 5250357, at *4-5; <i>Antonov v. General Motors LLC</i> (C.D. Cal., Jan. 19, 2024, No. 823CV01593FWSMJR) 2024 WL 217825, at *9; <i>Wilson v. Hyundai Motor America</i> (C.D. Cal., Mar. 14, 2023, No. 822CV00771JLSJDE) 2023 WL 3025376, at *4; <i>Fortune v. Nissan North America, Inc.</i> (N.D. Cal., Feb. 16, 2023, No. 22-CV-05247-KAW) 2023 WL 2065043, at *4; <i>Olguin v. FCA US LLC</i> (E.D. Cal., Feb. 13, 2023, No. 1:21-CV-1789 JLT CDB) 2023 WL 1972223, at *7; <i>Lewis v. Ford Motor Company</i> (E.D. Cal., Feb. 8, 2023, No. 221CV02367TLNJDP) 2023 WL 1823760, at *4; <i>Kroutilin v. FCA US, LLC</i> (C.D. Cal., Dec. 7, 2022, No. 822CV00929FWSDFM) 2022 WL 18278602, at *4-5; <i>Flier v. FCA US LLC</i> (N.D. Cal., Nov. 8, 2022, No. 21-CV-02553-CRB) 2022 WL 16823042, at *6-7; <i>Zurba v. FCA US LLC</i> (C.D. Cal., Nov. 10, 2022, No. 521CV01824JLSSHK) 2022 WL 17363073, at *6–7; see <i>de Lozano v. Nissan North America, Inc.</i> (C.D. Cal., Apr. 20, 2023, No. 5:22-CV-01887-RGK-SP) 2023 WL 3432240, at *4 [finding <i>Dhital</i> to be well-reasoned]; see <i>Gold Flora, LLC v. Constellation Newenergy, Inc.</i> (C.D. Cal., Mar. 14, 2023, No. 822CV02088JVSJDEX) 2023 WL 3149275, at *10 [agreeing with <i>Dhital</i>’s holding that the duty giving rise to tort liability is either completely independent of the contract, or arises from conduct which is both intentional and intended to harm].) In its Demurrer, Defendant maintains that, in <i>Rattagan v. Uber Technologies, Inc.</i> (2024) 17 Cal.5th 1, “[t]he California Supreme Court’s recent dismissals of <i>Dhital</i> .. and <i>Kia America</i> ... reinforce the application of the ELD to bar claims like Plaintiffs.” It also contends that <i>Rattagan</i>, rather than <i>Dhital</i>, controls the analysis regarding the economic loss rule. However, <i>Rattagan</i> examined tort claims that were “based on alleged conduct committed <i>during</i> the contractual relationship” (<i>Rattagan v. Uber Technologies, Inc.</i> (2024) 17 Cal.5th 1, 41, fn. 12), whereas <i>Dhital</i> involved claims that the plaintiff was fraudulently induced to enter into the contract. This distinction was recently recognized by two Federal District Courts. “By expressly calling out the distinction between <i>Rattagan</i>’s facts and the fraudulent inducement cases and then dismissing the appeal of <i>Dhital</i> without vacating, reversing, or otherwise altering the court of appeal’s
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		opinion, the California Supreme Court indicated that the reasoning in <i>Dhital</i> should guide claims...of fraudulent inducement by omission.’ [Citation.] ‘With the benefit of that dismissal, which leaves <i>Dhital</i>’s reasoning and conclusion intact, this Court concludes that the California Supreme Court’s three-step analysis from <i>Rattagan</i> controls fraudulent concealment <i>within</i> contractual relationships, whereas <i>Dhital</i> controls fraudulent concealment <i>inducing</i> the formation of a contractual relationship.’ [Citation.]” (<i>Ramos v. Ford Motor Company</i> (C.D. Cal., Apr. 16, 2025, No. 2:24-CV-04066-AH-(JPRX)) 2025 WL 1606917, at *5, citing to <i>Moore v. American Honda Motor Co., Inc.</i> (N.D. Cal., Mar. 28, 2025, No. 5:23-CV-05011-BLF) 2025 WL 948114, at *7.) In sum, <i>Dhital</i> supports a finding, particularly at the pleading stage, that Plaintiff’s fraudulent inducement claim is not barred by the economic loss rule. The Court also rejects Defendant’s description of <i>Dhital</i> as an “outlier decision” that should somehow be disregarded. <u>Motion to Strike</u> Plaintiffs have asserted a viable cause of action for Fraudulent Concealment, and punitive damages are available where a defendant is guilty of fraud. (Civ. Code, § 3294, subd. (a); see <i>Dhital v. Nissan North America, Inc.</i> (2022) 84 Cal.App.5th 828, 845 [reversing trial court’s order granting motion to strike punitive damages allegations where the plaintiff stated a viable fraud claim]; see <i>Nissan Motor Acceptance Cases</i> (2021) 63 Cal.App.5th 793, 829 [“Of course, fraudulent concealment is an intentional tort that may support a punitive damage award”].) Contrary to the arguments made in the Motion to Strike, Plaintiffs have met pled sufficient facts to support their fraud claim, and they have satisfied the pleading standard for punitive damages. While Plaintiffs may not have specifically identified a corporate officer, director, or managing agent who authorized, ratified, or was personally involved in the alleged misconduct, a corporation may itself be guilty of oppression and malice based on its corporate policies. (See <i>Samantha B. v. Aurora Vista Del Mar, LLC</i> (2022) 77 Cal.App.5th 85, 106 [corporation personally guilty of oppression and malice where it set the policies that made sexual predation of patients almost inevitable, and, in setting those policies, the corporation acted willfully and with a conscious disregard for the safety of others].) Here, Plaintiffs have alleged that Defendant had a practice of concealing information regarding the potential engine defect, even though it had abundant information regarding its existence. As pled, Plaintiffs have alleged sufficient facts to support their punitive damage allegations. Thus, the Court shall deny Defendant’s Motion to Strike.
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